Session One Pop Quiz

- What is Lemons Problem?
- What are the main causes of Lemons Problem?
- How to mitigate Lemons Problem?

Session One Pop Quiz (cont'd)

- What is Lemons Problem?
  - From George Akerlof's 1970 paper, describes how information asymmetry can cause markets to fail (the used car market).
- What are the main causes of Lemons Problem?
  - Information asymmetry and different incentives of seller and buyer.
- How to mitigate Lemons Problem?
  - Increased disclosure; regulation; guarantee and warranties; third-party certification; licensing; liabilities laws.

Recap:

Business Activities => Financial Statements

- Financial statements measure and summarize the *economic consequences of business activities.*

- Accounting systems enhance information quality by:
  - Ensuring data is reliable, relevant, comparable across organizations, and timely.
  - Providing standardized, verifiable information for decision-making through established principles, internal controls, and independent audits.

What is Missing from the Current Financial Reporting Systems?

- Non-financial information - measuring business activities beyond monetary values
  - Intangibles (brand reputation, intellectual property, innovation capacity)
  - Human capital (employee expertise, training investment)
  - Customer satisfaction
- Externalities
  - Environmental damage (carbon emissions, water pollution, habitat destruction)
  - Disruption to local communities (displacement, traffic congestion, public services)
  - Disruption to ecosystem (biodiversity loss)

- We will return to "**How to** account for externalities" later in the class.

- Before that, let's discuss:
  - **Should we, as a society, care about externalities?**
  - **Should businesses <u>care about</u> externalities?**
  - **Should businesses <u>account for</u> externalities?**

Should We Care about Externalities?

Imagine…you are about to be born, which world would you want to enter?

World 1

- Humans live in harmony with the environment and each other.

World 2

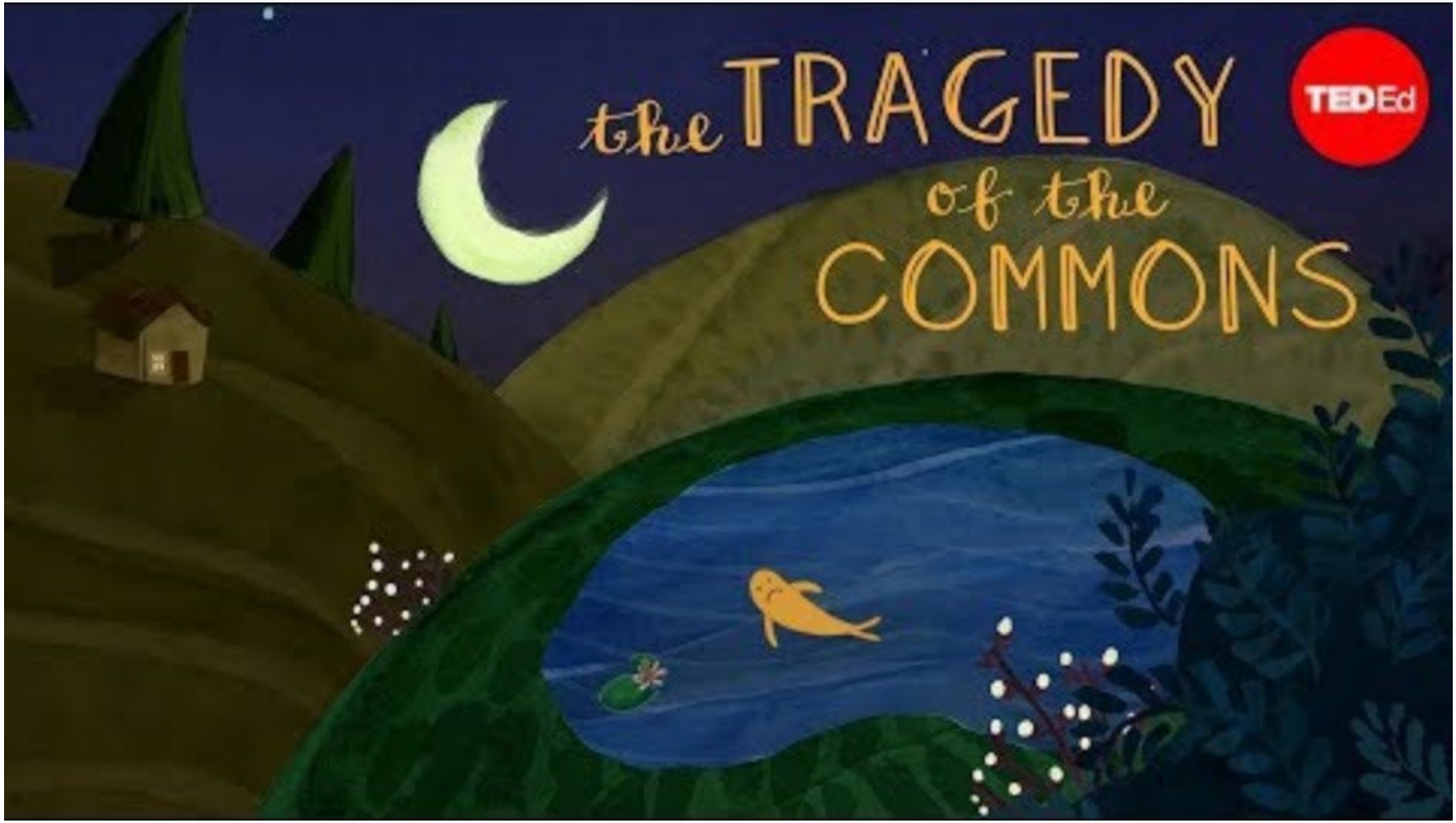
- Humans have severely damaged the environment and routinely oppress one another.

Where are we between these extremes?

World 1 vs. World 2

- Unconditionally, most people would prefer to be born in **World 1**, but once born, self-interest can move us toward **World 2**.
- *Why?*
- *How to move back to **World 1**?*

The Tragedy of the Commons



Solutions to the Tragedy of the Commons Problem

- Privatization ownership of natural resources
  - Owners internalize the costs of environmental damage
- Government regulation ("sticks")
  - Fines/Taxes/Quota (e.g., carbon tax)
- Public and private collaboration ("carrots")
  - Subsidies/grants (e.g., for Electric Vehicles, clean energy)
- Education
  - Making people more aware of the problem

All solutions require reliable information on resource usage.

Case: The development of ESG reporting

Case Purpose

- Introduce the concept of sustainability and ESG
- Introduce sustainability reporting and the frameworks
  - Including recent worldwide development
- Understand the potential use and limitations of ESG reporting

Should businesses care about externalities?

- Class discussion:
  - In *one sentence*, describe what is the *purpose of a company/business*?

Whose Interest Should a Corporate Serve?

Shareholder primacy

- *Key idea:* Primary responsibility to shareholders, aiming to maximize shareholder value.
- *Proponents:* Milton Friedman and classic economists.

The New York Times

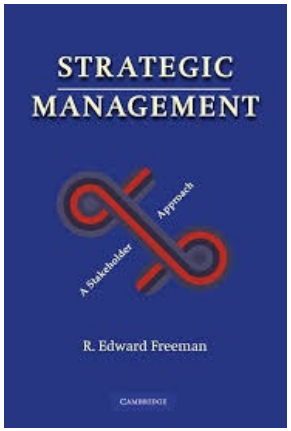
A Friedman doctrine-- The Social Responsibility of Business Is to Increase Its Profits

Share full article

By Milton Friedman
Sept. 13, 1970

Stakeholder theory

- *Key idea:* Organizations should create value for all stakeholders, not just shareholders.
- *Proponents:* R. Edward Freeman.



"A stakeholder in an organization is (by definition) any group or individual who can affect or is affected by the achievement of the organization's objectives." R. Edward Freeman.

Dodge v. Ford Motor Co. (1916)

A Landmark Case in Corporate Law in the US

- Case Background
  - Henry Ford sought to reinvest profits into lowering car prices & expanding the business.
  - Dodge brothers, minority shareholders, sued for a special dividend.
  - They alleged Ford was prioritizing the public good over shareholder returns.

- Michigan Supreme Court Ruling
  - *"A business corporation is organized and carried on primarily for the profit of the stockholders."*
  - The court ordered Ford to distribute dividends to shareholders.

- Cemented shareholder primacy as the dominant principle in US corporate law.

Shifting Landscape of Corporate Purpose

- **United States:**

CORPORATE GOVERNANCE

Business Roundtable Redefines the Purpose of a Corporation to Promote 'An Economy That Serves All Americans'

AUG 19, 2019

Updated Statement Moves Away from Shareholder Primacy, Includes Commitment to All Stakeholders

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WASHINGTON – Business Roundtable today announced the release of a new Statement on the Purpose of a Corporation signed by 181 CEOs who commit to lead their companies for the benefit of all stakeholders – customers, employees, suppliers, communities and shareholders.

- **United Kingdom:**
  - Better Business Act: A group of companies lobbying government to change UK law to mandate the pursuit of wider purpose for all UK companies.

Shifting Landscape of Corporate Purpose: Why?

- Failure of governments to address some of our greatest problems
  - Globally (e.g., climate change)
  - Nationally (e.g., diversity, equity and inclusion, employee health and safety)
  - Stakeholders turn to corporations when they feel politicians fail.
- Rise of traditional and social media
  - Individuals wield greater influence over corporate behavior
- Corporations grown larger and more powerful
  - Some firms' market cap exceeding the GDP of mid-size countries

How to Measure Corporate Purpose?

- How can we assess whether a company is operating in line with its stated purpose?

- How should **externalities** be accounted for?
  - Measuring a firm's environmental and social impact
  - Measuring company profits is much easier by comparison

How to measure environmental an social performance of a University?

Our School

Reaching net zero carbon and reducing our direct environmental impacts

Carbon
Measure, reduce and mitigate our carbon emissions.

Energy
Operate a highly energy-efficient estate and adopt renewable energy sources.

Waste and Resources
Reduce waste and adopt circular economy principles of resource management.

Buildings
Adopt the highest environmental standards in our construction and refurbishment projects.

Water
Reduce consumption on campus and residences.

Catering
Providing sustainable and healthy food options at LSE Catering outlets.

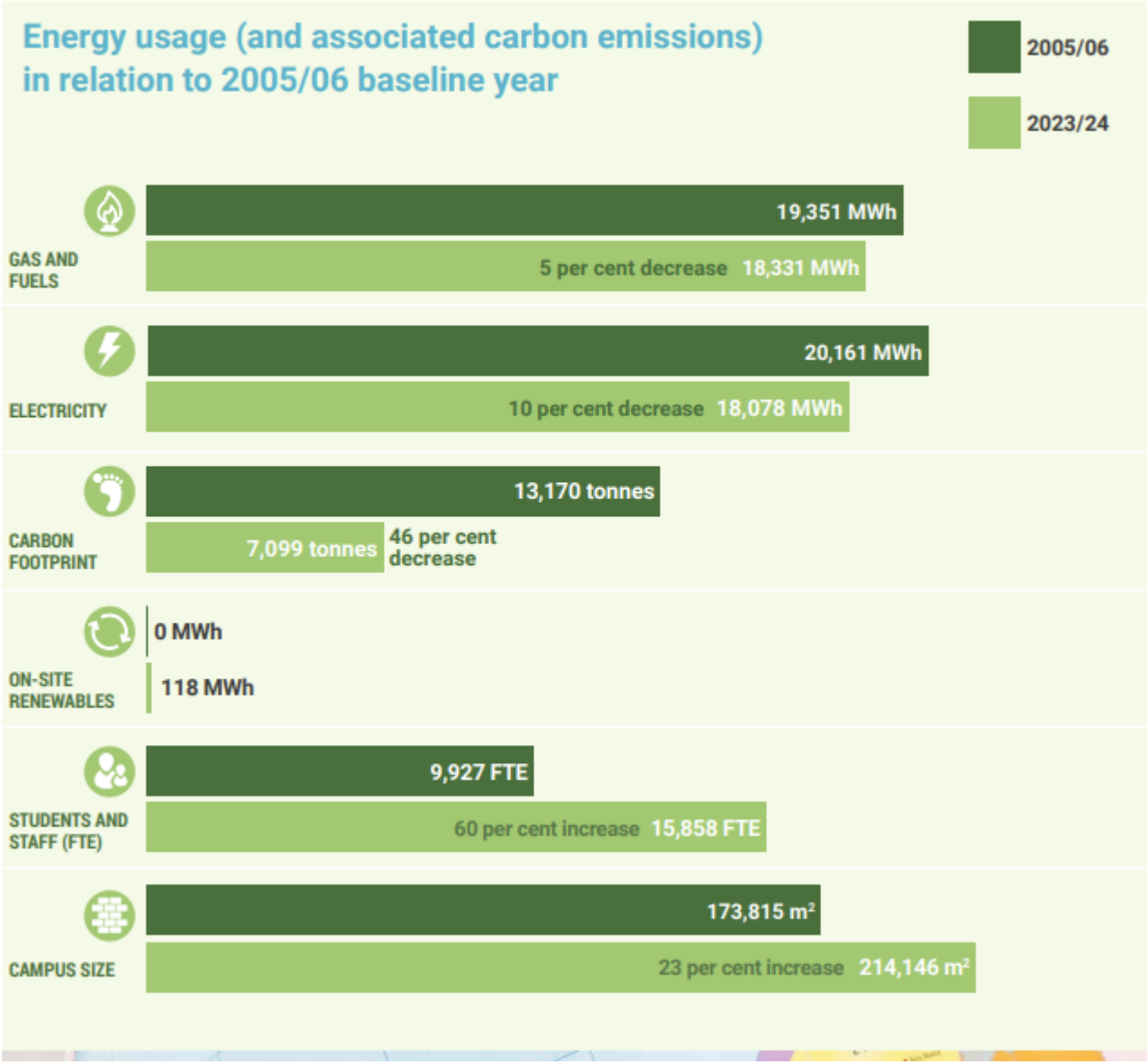
Responsible procurement
Embed sustainability in our supply chain.

Pollution and air quality
Minimise pollution and improve air quality.

Travel
Reduce emissions associated with commuting and business travel.

Biodiversity and green spaces
Enhance biodiversity on the LSE estate by protecting and connecting habitats.

Visit our **webpage** for further details.


Energy usage (and associated carbon emissions) in relation to 2005/06 baseline year
2005/06
2023/24
GAS AND FUELS
19,351 MWh
5 per cent decrease 18,331 MWh
ELECTRICITY
20,161 MWh
10 per cent decrease 18,078 MWh
CARBON FOOTPRINT
13,170 tonnes
7,099 tonnes
46 per cent decrease
ON-SITE RENEWABLES
0 MWh
118 MWh
STUDENTS AND STAFF (FTE)
9,927 FTE
60 per cent increase 15,858 FTE
CAMPUS SIZE
173,815 m²
23 per cent increase 214,146 m²

UNIVERSITY OF OXFORD

Saïd Business School

Sustainability snapshot

Global winner

'Best School' and 'Academic Research' in the Financial Times Responsible Business Education Awards

1,008 entries

and 58 countries represented in our Climate Change Challenge competition

40%

reduction in Scope 1 and 2 emissions vs 2018/19 baseline

£1.6m

The value of our cutting-edge air source heat pump installation project

2,880

students in the UK and Malawi supported by IT equipment donations

29

pieces of sustainability research published by faculty

512 events

provided with our bespoke sustainable conferencing and events guide

98%

compliance rate with the University of Oxford Travel Policy

Beyond Gold

standard achieved by our Green Impact volunteer team

SUSTAINABLE DEVELOPMENT GOALS

UNIVERSITY OF OXFORD

Saïd Business School

Travel

11 SUSTAINABLE CITIES AND COMMUNITIES

Promote sustainable travel options

The Oxford University's Travel Policy is designed to limit the environmental impact of necessary travel. Whilst Oxford Saïd is wholly committed to sustainability, we also understand that a certain level of business travel is vital for research, conferences and collaboration.

The Travel Policy strongly encourages staff to follow the sustainable travel hierarchy by prioritising active transport options such as walking or cycling over public transport and especially cars or taxis. Flights are permitted if unavoidable. Sensible restrictions have been placed on flights:

- No domestic flights are permitted
- Eurostar should be used for all journeys to Paris and Brussels
- First class flights are not permitted
- Premium economy and business class flights require pre-approval

We are proud that 98% of flights were compliant with the Travel Policy in 2023/24, a 1% improvement on the previous year.

Key targets

- Reduce emissions from flights by 35% by 2035, against our 2018/19 baseline
- Purchase an electric cargo bike to transfer goods between sites

How to Measure a Firm's ESG performance?

- **10 mins** group discussions:
  - What **metrics** can one use to measure an international apparel firm's **E&S performance**
  - Examples of international apparel firms include:
    - H&M – Sweden
    - Inditex (ZARA) – Spain
    - Gap – U.S.
    - Fast Retailing (Uniqlo) – Japan
    - Shein – China
    - Next – U. K.

The Environmental Impact of Fast Fashion: Where do Wasted Clothes Go?

Account for Externalities

- Externalities:
  - Environmental: Textile waste, water usage, chemical pollution, carbon emissions.
  - Social: Labor practices in supply chain, working conditions, employee diversity, impact on local communities, contribution to economic development.
- Measurements:
  - Environmental: Carbon footprint, water footprint, waste generated, pollutant released, recycled raw materials, recycled products.
  - Social: Wages relative to living standards (suppliers), survey on working conditions (suppliers & own employees), number of work workplace injuries, information on diversity (suppliers & own employees).

Material sustainability matters

Area	Impact	Value chain location
Climate	GHG emissions in own operations	●
Climate	GHG emissions in the value chain	○ ●
Climate	Energy use in own operations	●
Climate	Energy use in the supply chain	○
Chemicals and water pollution	Chemical use in the supply chain	○
Chemicals and water pollution	Generation of microfibres and microplastics	○ ● ●
Chemicals and water pollution	Pollution of water	○
Water	Water withdrawals and consumption	○ ●
Biodiversity, ecosystems and land-use	Land-use change, deforestation and biodiversity loss	○ ●
Resource use and circularity	Raw materials and resource use	○ ●
Resource use and circularity	Resource outflows across the value chain	○ ● ●
Resource use and circularity	Generation of waste across the value chain	○ ● ●
Own workforce	Employee health and safety	●
Own workforce	Employee well-being, wages and working conditions	●
Own workforce	Employee diversity and inclusion	●
Own workforce	Employee work-life balance	●
Own workforce	Employee data and security	●
Own workforce	Forced labour in own operations	●
Own workforce	Working hours and secure employment for employees	●
Workers in the value chain	Health and safety of workers in the value chain	○ ●
Workers in the value chain	Working conditions and adequate wages in the value chain	○ ●
Workers in the value chain	Secure employment for value chain workers	○ ●
Workers in the value chain	Right to freedom of association for value chain workers	○ ●
Workers in the value chain	Forced labour in the value chain	○ ●
Workers in the value chain	Child rights in the value chain	○ ●
Workers in the value chain	Sexual harassment and gender-based violence in the value chain	○ ●
Affected communities	Water and sanitation in affected communities	○ ●
Affected communities	Land-use, land rights and livelihoods	○ ●
Affected communities	Communities access to a clean and healthy environment	○ ●
Consumers and end-users	Product safety and consumer health	●
Consumers and end-users	Privacy and integrity of consumers	●
Business conduct	Corporate culture and ethical business behaviour	○ ● ●
Business conduct	Animal welfare	○

○ Upstream ● Own operations ● Downstream

Source: [H&M Group Annual and Sustainability Report 2024]

Account for H&M's Environmental Impact

Energy consumption and r

Share of renewable electrici

GHG

Share of electricity from pov

Total energy consumption in

– District heating

– Electricity

– Building diesel, natural ga

Total

Total

Total

Total energy consumption in

Total

(tonn

Share of total energy consur

Total energy consumption in

Total

scien

Total

(tonn

Chemicals and water poll

Total

Number of textile and leath

Total

(tonn

Share of textile and leather

Share of MRSL compliance

Total

(tonn

Share of MRSL compliance

Share of chemicals used by

Total

(tonn

ZDHC requirements via the

Share of tier 1 and 2 produc

Total

inten

Share of tier 1 and 2 produc

Total

Share of tier 1 and tier 2 pro

Zero Discharge of Hazardo

1. Scope is including facilities w

Shares of recycled or sustainably sourced materials in commercial products and packaging

%	Target	2024
Share of recycled or sustainably sourced materials[1] in commercial products[2, 3]		
Recycled or sustainably sourced materials[1]	100% by 2030	89
Recycled materials	30% by 2025 50% by 2030	29.5
Sustainably sourced materials[1]	–	59
Cotton that is recycled, organic, or other sustainably sourced[4] (total)	Maintain 100%	100
Cotton that is recycled	–	12
Cotton that is organic	–	12
Other sustainably sourced cotton[4]	–	76
Recycled polyester	100% by 2025	94
Mohair that is certified to the Responsible Mohair Standard (RMS) or coming from recycled sources	Maintain 100%	100
Virgin wool that is certified to the Responsible Wool Standard (RWS)	100% by 2025	87
Virgin cashmere that is certified to the Good Cashmere Standard (GCS)	100% by 2025	100
Down sourced that is recycled[5]	100% by end of 2025	94
Leather products produced with chrome-free tanned leather, including vegetable tanned leather and metal-free leather	100% by 2025	89
Virgin MMCF that is certified to the FSC or PEFC standards	100% by 2025	91
Virgin wood based materials that is certified to the FSC	100% by 2025	92
Share of recycled or sustainably sourced material in packaging		
Recycled or sustainably sourced packaging material	100% by 2030	84
Recycled packaging material	–	52
Recycled paper and cardboard packaging material	–	51
Recycled plastic packaging material	–	76
Sustainably sourced virgin paper and cardboard packaging material[1] (from FSC certified sources)	100% by 2025	83

Source: [H&M Group Annual and Sustainability Report 2024]

Account for H&M's Social Impact

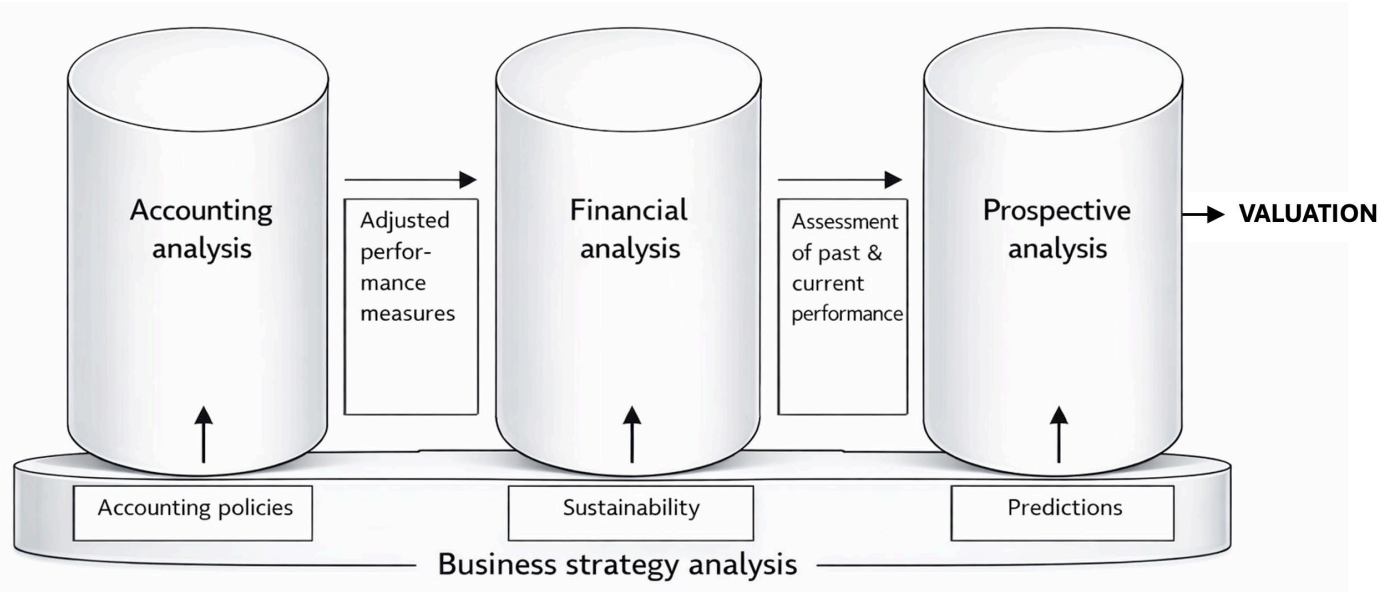
Average monthly wages (excluding overtime) at tier 1 production supplier factories versus applicable minimum wages in key production markets[2, 3]

Country	Currency	Minimum wages 2024	Gross average wages 2024	Difference between average and minimum wages 2024	Minimum wages 2023	Gross average wages 2023	Difference between average and minimum wages 2023
Bangladesh	USD	108	150	39%	81	124	53%
	BDT	12,201	16,960		8,276	12,624	
Cambodia	USD	204	294	44%	200	283	42%
	KHR	833,045	1,200,619		822,000	1,164,399	
Mainland China	USD	290	534	84%	290	542	87%
	CNY	2,090	3,848		1,962	3,667	
India	USD	124	159	28%	120	154	29%
	INR	10,339	13,259		9,786	12,598	
Indonesia	USD	173	202	17%	171	199	16%
	IDR	2,736,302	3,193,760		2,649,826	3,082,693	
Myanmar[1]	USD	42	87	107%	70	111	60%
	MMK	145,996	308,790		146,049	233,655	
Pakistan	USD	116	158	36%	118	156	33%
	PKR	32,458	44,031		26,764	35,626	
Türkiye	USD	624	736	18%	622	725	17%
	TRY	20,002	23,611		11,684	13,616	
Vietnam	USD	162	327	102%	167	324	94%
	VND	4,046,776	8,162,677		3,908,216	7,584,086	

Source: [H&M Group Annual and Sustainability Report 2024]

How to use ESG information?

- **7 mins** group discussions:
  - How to use the disclosed sustainability information in business analysis and valuation of fashion industry?
  - You may use the following graph from the first class:



How to use environmental and social information?

- Strategy analysis
  - Fashion retailers may promote sustainable production as a core brand value (competitive advantage)
- Financial analysis
  - GHG emissions across “scope” categories are informative about the outsource of production
  - Investments in sustainable materials and production might be costly
  - Using recycled materials might be cost-efficient
- Prospective analysis
  - Emissions could create future costs (i.e., regulatory penalties, litigation costs)
  - Abnormal emissions may create reputational risk
  - Investors may perceive lower emission firms as less risky

Concerns of sustainability reporting

- **7 mins** group discussion:
  - What are the potential threats to the usefulness of sustainability reporting for investors?
  - *Hint: think about what we discussed on Monday on financial reporting*

Potential concerns of sustainability reporting

- Voluntary nature of ESG reporting (until recently)
  - Voluntary in the US
  - Mandatory in the EU and UK, but format and content are voluntary
- Lack of verifiability
  - Unaudited, although some firms voluntarily seek auditor assurance
  - Even auditors lack the skills to verify (How to verify GHG?)

Potential concerns of ESG reporting (cont'd)

- Subject to managers' reporting strategy
  - Greenwashing, diversity washing
- Lack of harmonization and consolidation
  - Various reporting frameworks and standards
  - Lack of comparability: some metrics might be more relevant for some industries
- Lack of focus and clear purpose
  - No consensus on whether/how ESG performance is linked to financial performance

Next steps for ESG reporting

- Mandate ESG reporting
- Harmonize reporting frameworks and standards
- Improve verifiability and credibility
- Clarify its link to financial performance and value creation